

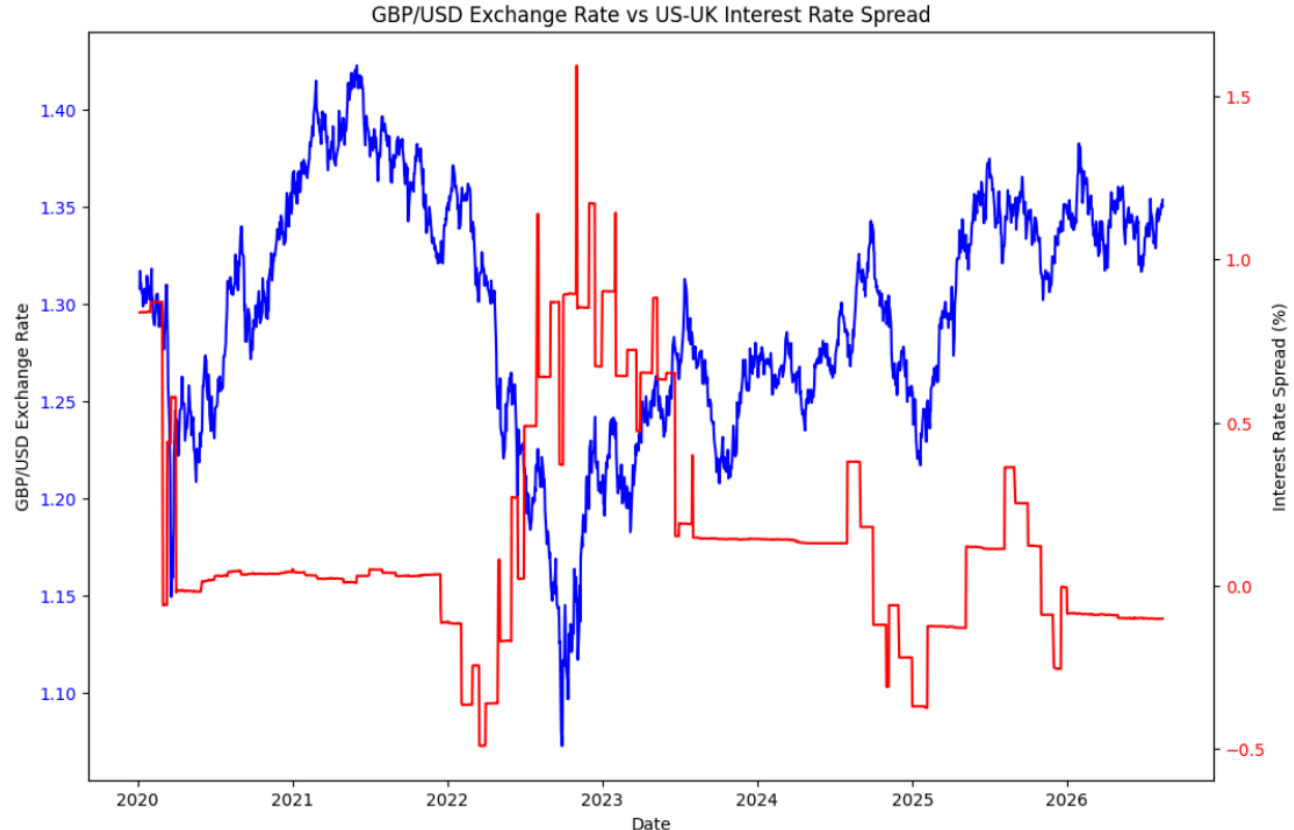
Macro and FX Strategy Context

Our strategy looks at the US-UK interest rate spread in order to help determine the baseline for the valuation of the exchange rate, while using S&P 500 daily returns for gauging short term fluctuations in the GBP/USD rate, through the S&P 500 we can determine the risk appetite of the market. Overall we aim to exploit both the more rigid and long term trend set by the interest rate spread and shorter term market volatility moved by the S&P 500's daily momentum.

Currently the US target range is sitting at 3.5% - 3.75% with the effective rate being 3.63% while the UK interest rate is 3.75% with SONIA overnight rate being 3.73%

Historical Data

The historical data shows that there is a strong inverse correlation between the US-UK interest rate and GBP/USD exchange rate. We see this when the US-UK spread increases meaning US rates have risen faster than UK rates therefore investors seek to move their funds out from the British pound towards US dollars in order to take advantage of the higher returns. This is especially clear towards the end of 2022 where a large spike in the US-UK spread caused the exchange rate to fall to the lowest point over this 6 year period.



Breakdown of the 2020-2021 Pattern

Initially the chart is volatile and doesn't follow the trend set in later years however the cause for this was most likely due to the Covid 19 pandemic which created a shock leading to investors hoarding US dollars which is a safer asset during global panic. Although the spread remained frozen the movement in the exchange rate was caused by 2 main factors, quantitative easing and vaccine expectations. Despite the dollar being a safer asset the GBP/USD rate rose showing that vaccine expectations led to a recovery. The UK was one of the fastest to roll out vaccines which influenced expectations that the economy was going to recover faster than other economies pushing up demand for the pound. Quantitative easing by the US meant that the supply of the dollar outpaced demand leading to a devaluation of the currency against the pound, causing the GBP/USD rate to surge over 2020 - 2021.

Current Trends

Due to the conflict in Iran, inflation has risen which has most likely caused the interest rate spread to freeze as the BoE and Fed Reserve have been holding interest rates to prevent further inflationary pressure. The interest rate spread has frozen slightly below 0% which has mostly removed any advantage in yields between the currencies, where currently exchange rate movements are being driven by future expectations on interest rates, risk appetite and geopolitical development.

Ultimately interest rate spreads influence and sets the long term trends of the GBP/USD exchange rate while S&P 500 performance and momentum sets the risk appetite for shorter term fluctuations.

Trade Proposal - Future Contract

Due to current geopolitical risks and volatility, the FX market is vulnerable to shocks as a result I propose that we focus on hedging using a FX forward contract rather than speculating and trading on directional movements. Current heightened geopolitical tension as well as UK political instability from changes in government leadership has created significant volatility across markets and in the GBP/USD exchange rate and therefore clients are more willing to lock in a future contract in order to protect their supply chains and profit margins against unforeseen shocks and risks.

Along with a future contract with clients we should offset the trade's risk by purchasing a matching but opposite position with another bank to remove market exposure. By adding a small markup to the client's quote we are able to profit from the spread, ensuring we can secure revenue regardless of how the GBP/USD exchange rate moves while also protecting client profit margins from uncertainties.

Risks

Although we remove the risk from currency fluctuations there is still the risk that the client defaults. In order to manage risk we can:

- Perform credit checks in order to ensure that a company has enough financial stability to fulfil their obligations. To do this we can check their financial statements such as cash flow.
- Request a deposit of collateral in order to protect ourselves if an unexpected event occurs causing the client to default on payments especially on larger deals.